

this argument a bit; it will be a good exercise in logic and plain common sense. Question: Assuming that the discount on closed-end shares does widen, how likely is it that you will be worse off with those shares than with an otherwise equivalent purchase of open-end shares?

TABLE 9-3 Certain Data on Closed-End Funds, Mutual Funds, and S & P Composite Index

<i>Year</i>	<i>Average Discount of Closed-End Funds</i>	<i>Average Results of Closed-End Funds^a</i>	<i>Average Results of Mutual Stock Funds^b</i>	<i>Results of S & P Index^c</i>
1970	- 6%	even	- 5.3%	+ 3.5%
1969		- 7.9%	-12.5	- 8.3
1968	(+ 7) ^d	+13.3	+15.4	+10.4
1967	- 5	+28.2	+37.2	+23.0
1966	-12	- 5.9	- 4.1	-10.1
1965	-14	+14.0	+24.8	+12.2
1964	-10	+16.9	+13.6	+14.8
1963	- 8	+20.8	+19.3	+24.0
1962	- 4	-11.6	-14.6	- 8.7
1961	- 3	+23.6	+25.7	+27.0
Average of 10 yearly figures:		+ 9.14%	+ 9.95%	+ 9.79%

^a Wiesenberger average of ten diversified companies.

^b Average of five Wiesenberger averages of common-stock funds each year.

^c In all cases distributions are added back.

^d Premium.

This calls for a little arithmetic. Assume that Investor A buys some open-end shares at 109% of asset value, and Investor B buys closed-end shares at 85% thereof, plus 1½% commission. Both sets of shares earn and pay 30% of this asset value in, say, four years, and end up with the same value as at the beginning. Investor A redeems his shares at 100% of value, losing the 9% premium he paid. His overall return for the period is 30% less 9%, or 21% on asset value. This, in turn, is 19% on his investment. How much must Investor B realize on his closed-end shares to obtain the same return on his investment as Investor A? The answer is 73%, or a discount of 27% from asset value. In other words, the closed-end man could suffer a widening of 12 points in the market discount (about double) before his return would get down to that of the open-end investor. An adverse change of this magnitude has happened rarely, if ever, in the history of closed-end